Microsoft 365 Common Licenses

Essential Licensing Guide for System Administrators

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Microsoft 365 licensing determines what services and features users can access. Understanding the most common license types is essential for proper user provisioning and cost management.

Important Disclaimer: This guide covers the most commonly deployed Microsoft 365 licenses. Additional specialized licenses, add-ons, and regional variations may be available. Pricing shown is approximate and subject to change. Always verify current pricing and features with Microsoft.

Most Common Business Licenses

Microsoft 365 Business Basic

Target: Small business, web-only users

- Web versions of Office apps (Word, Excel, PowerPoint)
- Exchange Online (50GB mailbox)
- SharePoint Online
- Microsoft Teams
- OneDrive (1TB storage)
- No desktop Office applications

Microsoft 365 Business Standard

Target: Small/medium business standard users

- All Business Basic features
- Desktop Office applications (Word, Excel, PowerPoint, Outlook)
- Publisher and Access (PC only)
- Advanced email and calendar features
- Bookings and MileIQ

Microsoft 365 Business Premium

Target: Small business with security needs

- All Business Standard features
- Advanced security features
- Device management (Intune)
- Advanced threat protection
- Azure Information Protection
- Windows Autopilot

Microsoft 365 Apps for Business

Target: Office apps only, no cloud services

- Desktop Office applications only
- Word, Excel, PowerPoint, Outlook
- Publisher and Access (PC only)
- No Exchange, SharePoint, or Teams
- 1TB OneDrive storage included

Enterprise Licenses

Microsoft 365 E3

Target: Enterprise information workers

- Desktop and web Office applications
- Exchange Online (100GB mailbox)
- SharePoint and Teams (enterprise features)
- Advanced security and compliance
- Power Platform capabilities
- Audio conferencing

Microsoft 365 E5

Target: Enterprise premium users

- All E3 features plus:
- Advanced threat protection
- Phone system and calling plans
- Advanced compliance tools
- Power BI Pro
- Advanced analytics

Microsoft 365 F3

Target: Frontline workers

- Web and mobile Office apps
- Exchange Online (2GB mailbox)
- SharePoint and Teams (limited)
- Basic security features
- No desktop Office applications
- Shift management tools

Office 365 E1

Target: Cloud-only enterprise users

- Web versions of Office apps only
- Exchange Online (50GB mailbox)
- SharePoint Online
- Microsoft Teams
- No desktop Office applications
- Yammer enterprise social

Common Standalone Add-ons

Exchange Online Plan 1
Email only, 50GB mailbox

SharePoint Online Plan 1
Document collaboration

Teams Essentials
Meetings and chat only

Power BI Pro
Business intelligence

Project Plan 1
Basic project management

Visio Plan 1
Diagramming tool

Bottom Line: Microsoft 365 offers various license types to match different user needs and organizational requirements. Understanding the core features of each license helps ensure proper user provisioning and optimal cost management.

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